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Kenya Pipeline Company (KPC) Initial Public Offer

"A great business at a fair price is superior to a fair business at a great price."- Charlie Munger

Kenya Pipeline Company Initial Public Offer

It is increasingly clear that 2026 is shaping up to be a defining year for new listings in the market. The bourse has endured a prolonged drought, with limited IPO activity, while several counters have exited the exchange through delisting and suspensions. Against this backdrop, Kenya Pipeline Company is poised to enter the market via an Initial Public Offer, as the government continues its broader strategy of offloading stakes in state-owned entities. In this divestiture, the government intends to retain a shareholding of at least 35.0%, which implies that 65.0% of the shareholding will be available for listing. Authorities plan to channel proceeds from this listing, alongside other divestitures, into the Sovereign and Infrastructure Fund to support the government's agenda, particularly capital-intensive infrastructure projects that require significant funding. This approach could ease pressure on the exchequer by reducing reliance on additional tax measures, aligning with the government's longer-term objective of increasing non-tax revenue streams, and easing budgetary pressures.

Kenya Pipeline Company (KPC)

KPC serves a vital function in moving petroleum products from the formerly operational Kenya Petroleum Refineries Limited to inland markets. According to the 2024 Annual Report, KPC operates a pipeline network spanning 1,342 Kms. Over the years, the company has continued to upgrade its oil transportation infrastructure, including the commissioning of the Kipevu Oil Terminal II, which enables the offloading of petroleum products at a rate of 5.0 Mn litres per hour, a commendable feat. Beyond transportation, KPC has made significant investments in fuel storage, with a combined storage capacity of 40.0 Bn litres, ensuring a stable and reliable fuel supply across the country.

Kenya Pipeline Company generates revenue from the transportation and storage of petroleum products. It charges oil marketing companies fees for transporting fuel from the Port of Mombasa to inland depots. The company charges fees to oil marketing companies for using its infrastructure, with local service fees and export services accounting for more than 50.0% of revenues in FY'2024. Storage facility fees are also a significant contributor to the top line. It follows that higher throughput translates into higher revenues for KPC, as increased domestic consumption supports stronger earnings and vice versa. Over the last five years, throughput volumes have grown consistently, recording a five-year Compounded Annual Growth Rate of 4.4% to 9,115,000 m^3 from approximately 7,686,000 m^3 in 2020. During the same period, revenues also expanded, reaching KES 35.37 Bn. *In addition, earnings per share surged to KES 378.0 from KES 113.0 in FY'2020. (The number of ordinary shares in issue was 18,173,300 at the end of FY'24). This underlines a compelling growth narrative and presents an attractive opportunity for investors seeking exposure to the energy sector, where growth is a key consideration when separating grain from chaff in portfolio construction.*

AIB-AXYS Africa In-house Position

We identified *listed comparable* businesses, most of which are domiciled in Asia, specifically South India. The average trailing PE is 8.3x with a median of 8.0x, while Price to Book averaged 1.4x with a median of 1.5x. We expect the valuation for KPC to follow a similar shape. However, we are aware that different markets trade at varying multiples, and the entire industry cannot be painted with a single brush. Ultimately, a justified valuation will make this IPO attractive.

We are of the view that KPC should continue to print resilient earnings in the near and long term, we see tangible growth catalysts bolstered by; i) improving throughput, which is directly tied to revenues and has remained resilient, with scope for further upside driven by increased demand from the local market, ii) expansion within the broader East African market, where we are encouraged by KPC's growing market share in the region, iii) improved efficiency, as evidenced by a 19.4%y/y decline in total operating expenses in FY'24, and, iv) management's ambition to unlock value from its fibre optic network, with plans to significantly grow the network's contribution to the company's topline.



Company	Region	Metrics		
		Trailing P/E	Price/ Book	Enterprise Value/ EBITDA
Indian Oil Corporation Limited	Asia	8.77	1.13	6.1
Bharat Petroleum Corporation Limited	Asia	7.22	1.66	4.79
Hindustan Petroleum Corporation Limited	Asia	6.89	1.69	5.41
Gail (India) Limited	Asia	10.14	1.26	6.76
Median		**8.0**	**1.5**	**5.8**
Average		**8.3**	**1.4**	**5.8**

Income Statement	2020	2021	2022	2023	2024
Revenue	26.08	27.99	26.21	30.86	35.37
Direct Costs	(13.56)	(12.58)	(13.55)	(13.22)	(14.52)
Gross profit	12.52	15.41	12.67	17.64	20.85
Other income					
Finance Income	0.54	0.35	0.82	0.88	0.89
Other Income	0.41	0.47	0.64	0.98	0.83
Other Gain/(Losses)	(0.09)	(0.65)	0.56	1.11	(2.21)
Total other income	0.86	0.17	2.02	2.97	(0.49)
Operating expenses					
Administration Expense	6.20	5.86	6.49	11.32	9.12
Provision for bad & doubtful debts	0.14	0.06	0.98	0.08	0.76
Provision for ageing waive	0.00	0.53	0.00	0.63	0.00
Finance Costs	1.88	1.23	0.84	0.97	0.48
Total operating expenses	8.22	7.68	8.30	13.00	10.36
Profit before taxation	6.14	6.91	6.30	7.61	10.01
Income tax expense/(credit)	2.04	(5.23)	2.39	3.11	3.14
Profit after taxation	8.18	1.68	3.90	4.50	6.87
Earnings per Share	450	93	215	248	378



Balance Sheet	2020	2021	2022	2023	2024
Non-Current Assets					
Property, plant and equipment	102.99	97.19	85.98	84.06	83.33
Leasehold land	15.70	19.43	18.58	15.78	15.03
Long Term receivables	2.91	3.12	3.14	3.32	3.52
Other Non-current receivables	1.42	0.07	0.06	1.49	1.48
Total Non-Current assets	**123.01**	**119.80**	**107.76**	**104.64**	**103.37**
Current Assets					
Inventories	2.18	2.61	2.34	2.4	2.6
Trade and other receivables	9.01	9.16	8.30	10.1	8.1
Other current Assets	132.28	130.24	118.97	11.7	6.6
Total current assets	**143.47**	**142.01**	**129.62**	**24.2**	**17.4**
Total Assets				**128.9**	**120.7**
Capital and Reserves					
Share capital	0.36	0.36	0.36	0.36	0.36
Share premium	0.51	0.51	0.51	0.51	0.51
Retained earnings	77.61	74.55	70.38	76.83	76.70
Revaluation reserve	23.87	23.61	19.38	11.54	11.51
Capital and Reserves	**102.36**	**99.04**	**90.64**	**89.24**	**89.09**
Total Non-Current Liabilities	32.30	33.67	30.19	23.63	19.19
Total Current Liabilities	8.81	9.29	8.79	16.01	12.45
Total Equity and Liabilities	**143.47**	**142.01**	**129.62**	**128.88**	**120.72**

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